Real Estate Principles

Assignment Booklet

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General Information

Course Timing Guidelines:

- Minimum of 2 ½ weeks to complete each course
  - 1 Course = 18 days, 2 Courses = 36 days, 3 Courses = 54 days, etc.
- Maximum of 1 year to complete the courses for which you are enrolled
- Guideline questions may be answered by calling Revei: (800) 582-7979

Test Information:

- Each course has its own open-book final exam
- Final exams are 100 multiple choice questions
- Maximum of 3 hours to complete each exam
- Use of a *non-programmable* calculator is permitted

Special Note: Students wishing to take a proctored final exam (taking exam with pen and paper) must contact Revei in order to do so. Taking proctored exams is subject to an extra fee, pursuant with extra paper and mailing costs. *All course and testing information and guidelines remain the same when testing with a proctor.*

Cancellation & Refund Policy:

Cancellation – Student must terminate enrollment by phone. All course textbooks and materials must be returned unused, in mint condition, for any cancellation to be valid. Cost of returning materials will belong to student. *Refund* – 100% refund of purchase price will be honored if student terminates enrollment within 7 days from the date of purchase. 50% refund of purchase price will be honored if student terminates enrollment within 14 days from the purchase date. No refunds will be given for cancelling after 14 days from purchase date. Refunds will only be processed after materials have been returned to Revei.

Testing & Grading:

Final exams are available through the Revei Learning Portal at www.revei.com. Please see the login instructions included in your package for username and password. Passing score is 60% or better.

1. Zoning is under the control of:
    a. private parties.
    b. government agencies.
    c. the Bureau of Real Estate.
    d. none of the above.
2. Easements appurtenant are for the benefit of:
    a. homesteaded landowners.
    b. adjoining (neighboring) landowners.
    c. the general public.
    d. government use only.
3. A contract that is binding and enforceable in a court of law is said to be:
    a. proprietary.
    b. illusory.
    c. valid.
    d. all of the above.
4. Who makes an offer on a property that is for sale?
    a. Seller's agent
    b. Offeree (Seller)
    c. Offeror (Buyer)
    d. All of the above
5. Escrows base monthly prorations on how many days?
    a. 28
    b. 29
    c. 30
    d. 31
6. The process of proportionally dividing rents, property taxes, and fire insurance is called:
    a. subdividing.
    b. title splitting.
    c. proration.
    d. escrow debiting.
7. The area of a rectangular lot that is 50 feet wide by 100 feet deep is:
    a. 2,500 sq. ft.
    b. 500 sq. ft.
    c. 5,000 sq. ft.
    d. 50,000 sq. ft.
8. If the Internal Revenue Service is using a minimum of 39 years for straight-line depreciation on commercial properties, what would be the annual depreciation on a newly constructed apartment that cost $1,950,000 and had an original land cost of $585,000?
    a. $35,000
    b. $15,000
    c. $3,500
    d. $50,000
9. For how much assessed value is the Homeowner's Property Tax Exemption?
    a. $1,000

b. $7,000
c. $2,000
d. $200

10. The difference between property taxes and special assessments is that:
    a. special assessments are levied for the cost of specific local improvements, while property tax revenue goes into the general fund.
    b. assessment liens can only be levied by local improvement districts.
    c. foreclosure of assessment liens can only be achieved by court foreclosure.
    d. assessment liens are always subordinate to property tax liens.
11. Misuse of the real estate appraisal report or coercion of the appraiser are now:
    a. misdemeanors.
    b. federal felonies.
    c. infractions.
    d. none of the above.
12. Which of the following is TRUE concerning the Cap Rate?
    a. The greater the risk, the greater the Cap Rate.
    b. Appraised value increases when the Cap decreases.
    c. Finding the Cap Rate is the most difficult step in the income approach.
    d. All of the above.
13. A person who is authorized by the Secretary of State to witness the acknowledgment of documents is known as a(n):
    a. administrator.
    b. librarian.
    c. document doctor.
    d. notary public.
14. An estate for years is an example of a:
    a. Iife estate.
    b. fee estate.
    c. freehold estate.
    d. Iess-than-freehold estate for a fixed period of time.
15. A broker who mixes personal funds with his or her principal's funds is guilty of:
    a. false promise.
    b. commingling.
    c. divided agency.
    d. conversion.
16. The Real Estate Commissioner enforces provisions of the:
    a. Civil Law.
    b. Commercial Law.
    c. Property Law.
    d. Real Estate Law.
17. Real property consists of:
    a. Iand and structures on the land.
    b. anything incidental to the land.
    c. anything appurtenant to the land.
    d. all of the above.

18. Determining the present value of a property based upon its anticipated future income and expenses is called the:
    a. capitalization or income approach.
    b. replacement cost method.
    c. market data method.
    d. comparison approach.
19. Which of the following is NOT one of the forces that affect the value of a neighborhood?
    a. Past sales considerations
    b. Economic considerations
    c. Physical considerations
    d. Social considerations
20. The right to reasonable use of water from a river or stream, if the land borders it, is called:
    a. none of the above.
    b. a mineral right.
    c. a potable right.
    d. a riparian right.
21. The federal civil rights law that applies to Americans with disabilities and protects them from discrimination is the:
    a. Unruh Civil Rights Act.
    b. Americans With Disabilities Act
    c. Fair Employment and Housing Act.
    d. None of the above.
22. A zoning act that requires disclosure of a property's vicinity to hazardous earthquake faults is known as the:
    a. San Andreas State Earthquake Act.
    b. California Coastal Act.
    c. Alquist-Priolo Special Studies Zones Act.
    d. none of the above.
23. When prices rise due to shortages of available properties, it is known as a:
    a. buyer's market.
    b. seller's market.
    c. lender's market.
    d. deflationary market.
24. The higher your credit score:
    a. the greater your chance of default.
    b. the better your interest rate and loan terms.
    c. the greater the possibility you will file a bankruptcy.
    d. none of the above.
25. Other than the initial small deposit to open the account, when are money deposits the personal property of the broker?
    a. Never
    b. Only with the permission of the buyer
    c. Only during non-business days
    d. Always

26. Which of the following is NOT a method to establish a real estate broker agency?
    a. Secret ballot
    b. Implied agreement
    c. Express agreement
    d. Estoppel
27. What "American" title insurance is usually requested by lenders?
    a. CLTA policy
    b. ALTA policy
    c. RESPA policy
    d. None of the above
28. “QR Code” stands for:
    a. Quick Response Code.
    b. Quality Review Code.
    c. Quantitative Relativity Code.
    d. none of the above.
29. Which of the following is a requirement of a lease?
    a. Length of lease
    b. Amount of rent
    c. Names of parties
    d. All of the above
30. When a tenant voluntarily gives up a lease before the expiration of its term, it’s known as:
    a. forgiveness.
    b. forbearance.
    c. suspension.
    d. surrender.
31. Which of the following is NOT an essential element of a contract?
    a. Cash
    b. Mutual consent
    c. Capacity
    d. Proper writing
32. Owner A tells B that he will pay him $1,000 to paint his house. B agrees. This is an example of a:
    a. unilateral contract.
    b. bilateral contract.
    c. completed performance.
    d. warranty contract.
33. The California Department of Veteran’s Affairs loan program is commonly known as the:
    a. CalVet Program.
    b. FHA.
    c. California VFW Program.
    d. VA.
34. Which of the following are NOT institutional lenders?
    a. Banks
    b. Private individuals

c. Insurance companies
d. Mutual savings banks

35. The market data method is the most common approach for:
    a. houses.
    b. condos.
    c. vacant land.
    d. all of the above.

36. The Agency Disclosure Form tells the seller and the buyer that their agent is working as:
    a. the seller's agent.
    b. the buyer's agent.
    c. both seller's and buyer's agent.
    d. any of the above.

37. What type of listing entitles the listing broker named in the agency contract to a commission even if the owner sells the property privately during the listing period?
    a. Exclusive right to sell listing
    b. Exclusive agency listing
    c. Open listing
    d. All of the above

38. The first phase in the life of a contract is:
    a. completion.
    b. escrow.
    c. performance.
    d. negotiation.

39. How many square feet are in 1 acre?
    a. 38,304
    b. 43,560
    c. 38,416
    d. 41,560

40. What is 395,340 square feet of area minus an area of 110 x 30 feet?
    a. 3,300 square feet
    b. 330,000 square feet
    c. 392,040 square feet
    d. 398,640 square feet

41. A month-to-month rental agreement is usually a:
    a. tenancy for years.
    b. periodic tenancy.
    c. tenancy at will.
    d. tenancy at sufferance.

42. An on-site residential manager:
    a. is a tenant of the property.
    b. handles tenants' complaints.
    c. maintains the premises.
    d. all of the above.

43. You are a landlord who discovers that one of your tenants is having new carpet installed in his apartment without your consent. To protect yourself, you should file a(n):
    a. cease and desist order.
    b. mechanic's lien.
    c. unlawful detainer action.
    d. notice of non-responsibility.
44. Easements are created by:
    a. express grant (in writing).
    b. implication of law.
    c. Iong-term use (prescription).
    d. all of the above.
45. Depreciation for tax purposes is a yearly tax deduction on the taxpayer's income tax form. Which of the following is NOT acceptable for depreciation?
    a. Your office building
    b. Your apartment building
    c. Your shopping center
    d. Your owner-occupied residence
46. Installment sales and exchanges have as their primary purpose:
    a. tax postponement.
    b. passing property to heirs.
    c. tax deduction.
    d. none of the above.
47. Which of the following is FALSE concerning a grant deed?
    a. The key word is "grant."
    b. It is signed only by the grantee.
    c. It is considered executed when signed by the grantor.
    d. Grant deeds contain implied warranties.
48. If a person dies without a will, the procedure for transferring the deceased's property to his or her heirs is called:
    a. accession.
    b. intestate succession.
    c. escheat by the federal government.
    d. none of the above.
49. Which of the following is NOT a type of property lot?
    a. Curb lot
    b. Interior lot
    c. Key lot
    d. Corner lot
50. Which of the following would prevent the contractual requirement of genuine consent?
    a. Menace
    b. Undue influence
    c. Duress
    d. All of the above

51. The rate the borrower is actually paying (including interest, points, and loan fees) is called:
    a. the wishful interest rate.
    b. the partially realized interest rate
    c. the effective interest rate.
    d. all of the above.
52. In a trust deed, the borrower is usually the:
    a. trustee.
    b. beneficiary.
    c. trustor.
    d. none of the above.
53. What federal case in 1968 upheld the 1866 Civil Rights Act?
    a. *Easton v. Strassburger*
    b. *Huber v. the State of California*
    c. *Jones v. Mayer*
    d. None of the above
54. A condominium does NOT have:
    a. a separate grant deed.
    b. a separate trust deed.
    c. private ownership of land and improvements.
    d. a separate tax bill.
55. The closing date is:
    a. always on the first day of the month.
    b. the date the documents are recorded.
    c. due before the payoff demand statement.
    d. the date the listing agreement is signed.
56. Which of the following is NOT a duty of the escrow company?
    a. Negotiating broker's fees
    b. Confidentiality
    c. Deposit holder
    d. Conditional delivery of funds and documents
57. The Real Estate Commissioner:
    a. replaces a court of law.
    b. gives legal advice.
    c. enforces the Real Estate Law.
    d. all of the above.
58. Any sale of a substantial part of inventory or other supplies and equipment associated with a business:
    a. is illegal.
    b. is a sale-leaseback.
    c. requires a PRLS license.
    d. is a bulk sale or transfer.
59. When an improvement is permanently attached to real property it becomes:
    a. private property.
    b. personal property.
    c. real property.

d. none of the above.

60. Which of the following is NOT a recognized legal method of land description?
    a. Satellite Tracking
    b. Metes and Bounds
    c. Lots, Blocks, and Tracts
    d. Sections and Townships

61. The Housing Financial Discrimination Act prohibits:
    a. targeting.
    b. redlining
    c. redistricting.
    d. gerrymandering.

62. Rental agreements are designed for estates:
    a. from period-to-period.
    b. for no more than 10 years.
    c. in escrow.
    d. any of the above.

63. "QR Code" stands for:
    a. Quick Response Code.
    b. Quality Review Code.
    c. Quantitative Relationship Code.
    d. None of the above.

64. A lessee making payments based on gross monthly income has a:
    a. ground lease.
    b. licensing agreement.
    c. lease-purchase option.
    d. percentage lease.

65. If the "exact" terms of the listing agreement are met, the listing broker is entitled to a commission, even if the:
    a. buyer is legally incompetent.
    b. broker is not licensed.
    c. seller is not the legal owner.
    d. owner refuses to sell to the buyer.

66. All material facts affecting the value and desirability of a property must be disclosed on the:
    a. residential listing agreement.
    b. disclosure of agency relationship.
    c. transfer disclosure statement.
    d. none of the above.

67. Which of the following is TRUE concerning negotiable instruments?
    a. They are easily transferable from one person to another.
    b. Promissory notes are considered negotiable instruments.
    c. The most common example of a negotiable instrument is a personal check.
    d. All of the above.

68. Which of the following online real estate search websites owned by NAR uses information from MLS data?
    a. Zillow .com.

b. Trulia.com
c. Realtor.com
d. all of the above.

69. If you made a 17% profit on the $76,000 sale of a lot, how much did you pay for the lot?
    a. $63,000
    b. $65,000
    c. $64,957
    d. None of the above

70. Income-producing property owners can deduct which of the following from their federal income taxes?
    a. Property taxes
    b. Prepayment penalties
    c. Depreciation of building improvements
    d. All of the above

71. The term "EER" is used to measure:
    a. water purity.
    b. credit rating.
    c. water pressure.
    d. energy efficiency (the higher the better).

72. What do 90% of all home buyers do before contacting a real estate agent?
    a. Search the web.
    b. Meet with their private banker.
    c. Buy a new car.
    d. None of the above

73. A lien placed on more than one parcel, all parcels having the same owner, is known as a:
    a. full lien.
    b. blanket encumbrance.
    c. multi-tract lien.
    d. none of the above.

74. When someone is performing unauthorized work on your property, you should file a(n):
    a. notice of nonresponsibility.
    b. notice of completion.
    c. writ of execution.
    d. abstract of judgment.

75. Demand sources for real estate loans include loans for:
    a. buying property.
    b. refinancing.
    c. construction.
    d. all of the above.

76. The cancelling of an offer to contract by the original offeror is called.
    a. assignment.
    b. revocation
    c. mutual consent.

d. counter offer.

77. An ownership interest in real property that only exists for the life of any designated person or persons (often the grantee) is called a(n):
    a. life estate.
    b. estate in waiting.
    c. less-than-freehold estate.
    d. estate in remainder.

78. What is the legal process of making an instrument an official part of the county records?
    a. Acknowledgment
    b. Recording
    c. Constructive notice
    d. All of the above

79. The salesperson exam requires what percent of correct answers to pass?
    a. 60%
    b. 80%
    c. 70%
    d. 90%

80. A lease purchase option is the:
    a. right to renew a lease.
    b. right to purchase the property.
    c. right to terminate a lease.
    d. none of the above.

81. Of the following, who is permitted to purchase property in California without court approval?
    a. Convicts
    b. Minors
    c. Incompetents
    d. Foreign persons (aliens)

82. A counter offer:
    a. terminates the prior offer.
    b. is a new offer.
    c. changes the terms of the prior offer.
    d. all of the above.

83. The seller must provide the buyer of a condominium with:
    a. the CC&Rs.
    b. the bylaws.
    c. a copy of the most recent financial statement.
    d. all of the above.

84. The Federal U.S. Fair Housing Act of 1968 that requires equal housing posters to be displayed at real estate offices and at lending institutions is also generally known as the:
    a. Federal Civil Rights Act of 1968.
    b. California Housing Financial Discrimination Act of 1977.
    c. Unruh Civil Rights Act (state law).
    d. none of the above.

85. Which of the following is considered the most reliable Internet source of real estate for sale accessible by the general public?
    a. Zillo.com
    b. Realtor.com
    c. Trulia.com
    d. None of the above
86. If a broker were to say to a prospective buyer "I think this is the best house on the street," the statement would be considered a(n):
    a. innocent misrepresentation.
    b. negligent misrepresentation.
    c. fraudulent misrepresentation.
    d. exaggeration of benefits (puffing).
87. If the prospective investor of real property is most concerned with making money off the usefulness of the improvements, he or she would be most concerned with:
    a. economic life remaining in the improvements.
    b. physical life remaining in the improvements.
    c. chronological age of the improvements.
    d. none of the above.
88. The most difficult part of the cost approach is:
    a. finding a lender.
    b. estimating depreciation of older buildings.
    c. finding an experienced appraiser.
    d. all of the above.
89. A recorded public history of a specific property is called a:
    a. title provenance.
    b. chain of title.
    c. title plant.
    d. string of title.
90. In a sale-leaseback, the original property owner:
    a. evicts his or her tenant.
    b. loses money.
    c. becomes the lessee.
    d. none of the above.
91. CC&Rs refer to:
    a. conditions, control, and residuals.
    b. covenants, communities, and residents.
    c. construction, conditions, and restrictions.
    d. covenants, conditions, and restrictions.
92. A mechanic's lien is filed against the:
    a. property.
    b. owner.
    c. lender.
    d. general contractor.
93. Prior to receiving communication of its acceptance, a buyer can withdraw an offer:
    a. in writing.

b. personally.
c. by registered mail.
d. all of the above.

94. Which of the following is NOT a section and township starting point in California?
    a. Humboldt
    b. Mt. Diablo
    c. Blythe
    d. San Bernardino

95. The current status of items from the county records affecting the property's title is called the:
    a. coinsurance clause.
    b. title insurance.
    c. preliminary title report.
    d. none of the above.

96. What must a potential listing agent do if a seller requires the agent to discriminate?
    a. Discriminate
    b. Charge a higher commission
    c. Refuse the listing
    d. Make a citizen's arrest

97. If you have an outstanding bank loan of $56,500 with monthly payments of $500 a month, of which $43.76 is applied to principal, what is the interest rate on the loan?
    a. 8.25%
    b. 9.25%
    c. 9.69%
    d. 11.25%

98. When a married couple (filing jointly) sells their residence after living in it for two of the last five years, they don't have to pay capital gains for a profit of up to:
    a. $25,000.
    b. $120,000.
    c. $500,000.
    d. $700,000.

99. Compared to ordinary income tax rates, capital gains taxes are:
    a. higher.
    b. lower.
    c. the same
    d. none of the above.

100. Real property is assessed:
    a. every ten years.
    b. each time it is sold.
    c. at 100% of its selling price or market value, whichever is higher.
    d. both b and c are correct.

101. An appraiser using the market approach collects many recent comparable sales. If a comparable property has a feature that is NOT present in the subject property, the estimated value of the feature is:
    a. added to the sales price of the comparable.
    b. just noted on the appraisal but nothing is done.
    c. subtracted from the sales price of the comparable.
    d. none of the above.
102. The Federal Reserve's monetary policies influence the supply of money by:
    a. buying and selling government T-bonds and T-securities.
    b. raising and lowering the reserve requirement.
    c. raising and lowering the discount rate to member banks.
    d. all of the above.
103. An oath or affirmation made before a notary public that the content of an instrument is true is called a(n):
    a. deed.
    b. actual notice.
    c. verification.
    d. none of the above.
104. An emancipated minor:
    a. has legal capacity.
    b. is always emancipated.
    c. can acquire property.
    d. all of the above.
105. Which of the following is NOT a required document in a personal property security transaction?
    a. Promissory note
    b. A photograph of the property
    c. Security Agreement
    d. Compliance with UCC-1 Financing Statement
106. An advertisement by a broker that gives the impression that he or she is the owner of the property is a violation of Real Estate Law called a:
    a. blind advertisement.
    b. shadow listing.
    c. secret profit.
    d. none of the above.
107. Which of the following is NOT a California starting point in the U.S. Government Survey system?
    a. Baja Base Line and Meridian
    b. Humboldt Base Line and Meridian
    c. Mt. Diablo Base Line and Meridian
    d. San Bernardino Base Line and Meridian
108. ¼ of a section is ½ mile by ½ mile and has how many acres?
    a. 320
    b. 160
    c. 240
    d. 120

109. Which of the following statements constitutes an example of progression?
    a. A home of greater value is worth more when located among homes of lesser value.
    b. A home of greater value is worth less when located among homes of lesser value.
    c. A home of lesser value is worth less when located among homes of greater value.
    d. A home of lesser value is worth more when located among homes of greater value.
110. Which appraisal method is known as the "replacement cost method"?
    a. Market data approach
    b. Cost Approach
    c. Income approach
    d. All of the above
111. An agent who intentionally shows minorities homes for sale in a minority neighborhood only and refuses to communicate the availability of housing in other neighborhoods is guilty of:
    a. redlining.
    b. block busting.
    c. poor taste.
    d. steering.
112. Which of the following is TRUE concerning illusory contacts?
    a. They are unenforceable
    b. They are definite and certain
    c. They are enforceable
    d. None of the above
113. Which of the following are considered non-institutional lenders?
    a. Private lenders
    b. Mortgage companies
    c. Credit unions
    d. All of the above
114. If you want an FHA loan, you should go to:
    a. VA.
    b. FHA.
    c. CalVet.
    d. an approved lender.
115. An agency is terminated by operation of law when:
    a. the agency agreement expires.
    b. the broker or seller dies.
    c. the property is destroyed.
    d. all of the above.
116. Which of the following is NOT a duty of the broker/agent towards his or her principal?
    a. Availability
    b. Loyalty
    c. Honesty

d. Integrity

117. The nominal interest rate is:
    a. the effective interest rate.
    b. compounded daily.
    c. a guarantee of negative amortization.
    d. stated on the note.

118. In a trust deed, the “power of sale” clause is given:
    a. from the trustor to the beneficiary (lender).
    b. from the trustor to the trustee.
    c. from the beneficiary to the trustor.
    d. from the beneficiary to the trustee

119. If a rental property is sold, the rents of the tenants are:
    a. forfeited.
    b. refunded in full.
    c. doubled.
    d. prorated in escrow.

120. Changing the zoning from R3 to R1 (with less use density) is an example of:
    a. condemnation.
    b. police power.
    c. involuntary conversion.
    d. downzoning.

121. An incompetent person:
    a. is of unsound mind.
    b. cannot individually contract.
    c. must have court approval to contract.
    d. all of the above.

122. Which of the following is a remedy for a breach?
    a. Acceptance of the breach
    b. Action for dollar damages
    c. Action for specific performance
    d. Any of the above

123. An "REIT" is a:
    a. real equity interest trust.
    b. real estate investment transfer.
    c. residential encouragement involving trusts.
    d. real estate investment trust.

124. Impound reserves can be used to pay:
    a. fire insurance.
    b. property taxes.
    c. both a and b.
    d. none of the above.

125. The cost approach is most effective:
    a. at finding similar comparable properties.
    b. with new, unique, or public buildings.
    c. for properties that generate income.
    d. all of the above.

126. A lease for more than one year must be:
    a. in writing.
    b. notarized.
    c. filed with the county.
    d. all of the above.
127. In real estate, the person who acts for and with the authority of another is called a(n):
    a. agent.
    b. principal.
    c. buyer.
    d. third party.
128. A person who sells final results rather than time is known as a(n):
    a. employee.
    b. independent contractor.
    c. subagent.
    d. all of the above.
129. What would be the interest due on a loan of $25,000, borrowed at 7%, for a period of three years?
    a. $7,000
    b. $5,250
    c. $1,750
    d. $3,500
130. Tenant A has a month-to-month tenancy with landlord B. What is the minimum number of days' notice that A must give if she wishes to vacate?
    a. 14
    b. 15
    c. 30
    d. 20
131. To be valid, a lease need NOT include the:
    a. description of the property.
    b. length of the lease.
    c. words "let or demise."
    d. names of the parties.
132. A landlord uses an unlawful detainer action:
    a. to gain possession.
    b. instead of a mechanic's lien.
    c. to raise a tenant's rent.
    d. to illegally intimidate a tenant.
133. Which of the following is an example of a voluntary lien?
    a. Trust deed loan
    b. Mechanic's lien
    c. Tax assessment
    d. None of the above
134. What is NOT one of the four unities involved in the establishment of a joint tenancy?
    a. Conveyance

b. Title
c. Time
d. Interest

135. Which word best describes the effects of income taxes as your income increases?
a. Progressive
b. Regressive
c. Marginal
d. Static

136. An agent who is only authorized to perform specific acts is known as a(n):
a. general attorney in fact.
b. special attorney in fact.
c. fiduciary.
d. attorney by estoppel.

137. If a property is to be returned to the grantor after a life estate is terminated, it is referred to as a(n):
a. estate for years.
b. estate in remainder.
c. Iife estate.
d. estate in reversion.

138. Which of the following is true regarding joint tenancy?
a. Joint tenants have the right of "survivorship"
b. A joint tenancy cannot be willed
c. both a & b
d. None of the above

139. An information booth is called a(n):
a. kiosk.
b. turnkey.
c. unearned increment.
d. conduit.

140. The income approach is most effective:
a. with single-family homes or lots.
b. with new, unique, or public buildings.
c. for properties that can generate income.
d. all of the above.

141. In a trust deed, the beneficiary is the:
a. escrow.
b. third party.
c. lender.
d. borrower's spouse.

142. A set number of days in which a lender will allow payments to be late without penalty is known as a:
a. waiting period.
b. grace period.
c. maturation period.
d. none of the above.

143. The original housing law in California that deals with discrimination in business is called the:
    a. Unruh Civil Rights Act.
    b. Rumford Act.
    c. Federal Civil Rights Act.
    d. none of the above.
144. The “Alquist-Priolo Special Studies Zones Act” pertains to:
    a. flood zones.
    b. earthquake fault zones.
    c. registered sex offender zones.
    d. none of the above.
145. The acronym "CLTA" stands for:
    a. California Landlord Tenant Association.
    b. California Land Title Association.
    c. Community Lease Transaction Account.
    d. California Land Tax Association.
146. In a trust deed, the trustee is the:
    a. third (disinterested) party.
    b. lender.
    c. borrower.
    d. state controller.
147. Which of the following is true about the salesperson’s exam?
    a. 150 multiple-choice questions
    b. Lasts three hours and fifteen minutes
    c. Requires 70% correct score to pass
    d. All of the above
148. The fair housing violation of refusing to loan or insure a house because of a property’s location is also known as:
    a. steering.
    b. panic selling.
    c. redlining.
    d. block busting.
149. How many square feet are in an acre?
    a. 345
    b. 100,000
    c. 435
    d. 43,560
150. Which kind of listing is preferred by most brokers?
    a. Exclusive agency
    b. Exclusive right to sell
    c. Open listing
    d. None of the above
151. Which of the following is an important tax date to remember?
    a. November 1
    b. December 10
    c. February 1

d. All of the above

152. The county assessor determines a property's:
    a. assessed valuation.
    b. documentary transfer tax.
    c. estate taxes.
    d. tax rate.

153. A document given to a tenant stating that he or she must pay past due rent or vacate is known as a(n):
    a. Three-Day Notice to Pay.
    b. Unlawful Detainer.
    c. Writ of Possession.
    d. Curb Summons.

154. When a lessee (tenant) pays property taxes, insurance, and operating expenses, it is called a:
    a. graduated lease.
    b. gross lease.
    c. net lease.
    d. all of the above.

155. Which of the following would best describe an open listing?
    a. Bilateral contract
    b. Illegal in California
    c. Nonexclusive
    d. Exclusive

156. The CLTA policy protects against:
    a. lack of capacity.
    b. deeds not properly delivered.
    c. forgery.
    d. all of the above.

157. If a buyer defaults on a conditional sales purchase contract (land contract), who could file a quiet title action to remove the cloud on the title?
    a. Broker
    b. Title insurance
    c. Buyer
    d. Seller

158. Life insurance companies:
    a. prefer large loans.
    b. are Ieast likely to make small loans.
    c. seldom make construction loans.
    d. all of the above.

159. You have completed the sale of a home for $356,000. The rate of commission is 7%. How much money have you made?
    a. $24,920
    b. $9,000
    c. $12,460
    d. $21,150

160. Which clause in a purchase agreement sets, in advance, a specified amount of money as compensation if there is a breach?
    a. Statute of Limitations
    b. Pre-Nuptial Agreement
    c. Liquidated Damages Agreement
    d. Advance Breach Agreement
161. Depreciation can be:
    a. curable.
    b. incurable.
    c. loss in value from any cause.
    d. all of the above.
162. Which of the following is true concerning mechanic's liens?
    a. They are specific liens
    b. They are involuntary liens
    c. They must be recorded to be effective
    d. All of the above
163. A mechanic's lien can be filed against a property by someone who has furnished which of the following services?
    a. Landscaping
    b. Roofing
    c. Plumbing
    d. All of the above
164. Which type of depreciation is called "social" obsolescence?
    a. Physical deterioration
    b. Functional obsolescence
    c. Economic obsolescence
    d. None of the above
165. Noninstitutional lenders who usually lend their own money and then sell their loans to others and service the loans are called:
    a. mutual savings banks.
    b. mortgage bankers.
    c. pension funds.
    d. any of the above.
166. The broker must place a buyer's money deposit in a trust account or escrow:
    a. by the next day.
    b. within five days.
    c. within three business days.
    d. none of the above.
167. A fee estate that is subject to particular limitations imposed by the grantor of the estate is called.
    a. a restricted fee estate.
    b. an imperfect fee estate.
    c. a fee simple defeasible estate
    d. none of the above.
168. A "good faith" estimate of settlement charges (RESPA) for the purchase of a home includes:

a. rate of interest.
b. points on the loan.
c. additional loan fees.
d. all of the above.

169. Mello-Roos liens:
a. require a seller and/or salesperson to disclose.
b. are municipal bonds.
c. usually fund street improvements.
d. all of the above.

170. Which lender is a co-operative association organized to promote thrift among its members and provide them with a source of credit?
a. REIT.
b. Pension plan.
c. Insurance company.
d. Credit union.

171. You enter a hardware store where you have an account, pick up a pair of $5.00 pliers, and wave them at the manager as you leave the store. This would be an example of a(n):
a. express contract.
b. mutual consent.
c. implied contract.
d. all of the above.

172. In a legal dispute, when there is a conflict between the preprinted clauses and the handwritten information in a real estate contract, which information takes precedence?
a. Preprinted clauses
b. Handwritten information
c. Local customs
d. None of the above

173. The only time an agent can refuse to show a property is when:
a. the buyer appears too poor to purchase the property.
b. it is raining outside or the house is messy.
c. the buyers and sellers are of different races.
d. the sellers are out of town and notify the broker that no one is allowed to see the property.

174. The California Fair Employment and Housing Act (FEHA) investigates and takes action against which of the following who engage in discriminatory practices?
a. Property owners
b. Financial institutions
c. Real estate licensees
d. All of the above

175. Which of the following is NOT a test to determine whether an item is a fixture?
a. Adaptability
b. Date of purchase
c. Intention
d. Agreement

176. Which of the following is TRUE concerning listings?
    a. They are not assignable
    b. They can be for any period of time
    c. They belong to the broker, not the salesperson
    d. All of the above
177. Which of the following statements is FALSE concerning economic obsolescence?
    a. It is due to wear and tear
    b. It is a result of off property causes
    c. It is due to changes in the neighborhood
    d. It is incurable
178. FHA-backed loans:
    a. generally have lower interest rates than conventional loans.
    b. generally have higher interest rates than conventional loans.
    c. generally have lower loan to value ratios than conventional loans.
    d. are available only to veterans.
179. Which of the following is NOT a duty of the escrow company?
    a. Conditional delivery
    b. Confidentiality
    c. Holding deposits
    d. Selling title insurance
180. Commingling can best be described as:
    a. misappropriation of licensee's funds.
    b. receiving a profit that is unknown to the seller.
    c. mixing funds of a principal and a licensee.
    d. not disclosing certain physical conditions.
181. Real property subject to a lien is referred to as:
    a. attached.
    b. restricted.
    c. encumbered.
    d. all of the above.
182. A contract is best defined as:
    a. an agreement to perform or not to perform.
    b. an offer by one party.
    c. a willingness to enter into an agreement.
    d. something of value given by one party.
183. Which of the following online real estate search websites owned by NAR uses information from MLS data?
    a. Realtor.com
    b. Zillow.com
    c. Trulia.com
    d. All of the above
184. The most common reason to terminate a lease or rental agreement is:
    a. condemnation.
    b. unlawful detainer.
    c. expiration of the term.
    d. destruction of the premises.

185. Which of the following is NOT usually prorated in escrow?
    a. Rents
    b. Title insurance
    c. Property taxes
    d. Interest
186. If you are a subcontractor and a notice of completion has been filed, a mechanic's lien can be filed:
    a. until 30 days after notice of completion.
    b. until 60 days after notice of completion.
    c. until 190 days after notice of completion.
    d. none of the above.
187. Two brokers agreed to split a 6% commission on a 50-50 basis on a property that sold for $362,500. How much will each broker receive?
    a. $21,750
    b. $18,125
    c. $10,875
    d. $5,438
188. A clause allowing an owner to continue using property in a way that is now prohibited by new zoning is called:
    a. a conditional use permit.
    b. police power.
    c. a grandmother clause.
    d. a grandfather clause.
189. As of 2014, a Federal Estate tax return must be filed for any U.S. resident whose gross estate exceeds:
    a. $5,000,000.
    b. $100,000.
    c. $50,000.
    d. all of the above.
190. A money debt that an owner agrees to pay is a(n):
    a. involuntary lien.
    b. voluntary lien.
    c. detrimental lien.
    d. convertible lien.
191. An outdated kitchen would be an example of:
    a. functional obsolescence.
    b. functional depreciation.
    c. economic obsolescence.
    d. none of the above.
192. The substitution, by agreement, of a new contract for an existing one with the intent to cancel the old contract, is known as:
    a. mutual consent.
    b. assignment.
    c. novation.
    d. none of the above.

193. What is the term used when a person leasing a property remains after the expiration of the stated term?
    a. Estate for years
    b. Estate from period-to-period
    c. Estate at will
    d. Estate at sufferance
194. In order to record a deed or trust deed, a notary requires:
    a. the recorder's birth certificate.
    b. the property's latest tax assessment.
    c. the broker's license number.
    d. the recorder's right thumbprint.
195. A real estate license for both a salesperson and a broker must be renewed every:
    a. two years.
    b. three years.
    c. four years.
    d. five years.
196. The greatest and most complete form of ownership known to the law is:
    a. estate at will.
    b. estate for years.
    c. estate in fee or fee simple.
    d. none of the above.
197. One-half of a section has how many acres?
    a. .05
    b. 160
    c. 320
    d. Zero
198. What is the procedure used for transferring the deceased's property to his or her heirs if there is no will?
    a. Intestate Succession
    b. Accession
    c. Escheat
    d. Prescription
199. The bottom portion lining a doorway or window is the:
    a. joist.
    b. sill.
    c. ridge board.
    d. flashing.
200. The Federal Safe Act of 2008 requires all persons/entities performing acts such as mortgage loan originators to be registered with and/or licensed through the:
    a. Securities and Exchange Commission(SEC).
    b. Consumer Protection Bureau(CPB).
    c. Nationwide Mortgage Licensing System and Registry (NMLS/NMLS&R).
    d. all of the above.

Real Estate Principles
Answer Key

1.	b	43.	d	85.	b
2.	b	44.	d	86.	d
3.	c	45.	d	87.	a
4.	c	46.	a	88.	b
5.	c	47.	b	89.	b
6.	c	48.	b	90.	c
7.	c	49.	a	91.	d
8.	a	50.	d	92.	a
9.	b	51.	c	93.	d
10.	a	52.	c	94.	c
11.	b	53.	c	95.	c
12.	d	54.	c	96.	c
13.	d	55.	b	97.	c
14.	d	56.	a	98.	c
15.	b	57.	c	99.	b
16.	d	58.	d	100.	d
17.	d	59.	c	101.	c
18.	a	60.	a	102.	d
19.	a	61.	b	103.	c
20.	d	62.	a	104.	d
21.	b	63.	a	105.	b
22.	c	64.	d	106.	a
23.	b	65.	d	107.	a
24.	b	66.	c	108.	b
25.	a	67.	d	109.	d
26.	a	68.	c	110.	b
27.	b	69.	c	111.	d
28.	a	70.	d	112.	a
29.	d	71.	d	113.	d
30.	d	72.	a	114.	d
31.	a	73.	b	115.	d
32.	b	74.	a	116.	a
33.	a	75.	d	117.	d
34.	b	76.	b	118.	b
35.	d	77.	a	119.	d
36.	d	78.	b	120.	d
37.	a	79.	c	121.	d
38.	d	80.	b	122.	d
39.	b	81.	d	123.	d
40.	c	82.	d	124.	c
41.	b	83.	d	125.	b
42.	d	84.	a	126.	a

127. a
128. b
129. b
130. c
131. c
132. a
133. a
134. a
135. a
136. b
137. d
138. c
139. a
140. c
141. c
142. b
143. a
144. b
145. b
146. a
147. d
148. c
149. d
150. b
151. d
152. a
153. a
154. c
155. c
156. d
157. d
158. d
159. a
160. c
161. d
162. d
163. d
164. c
165. b
166. c
167. c
168. d
169. d
170. d
171. c
172. b
173. d
174. d
175. b
176. d
177. a
178. a
179. d
180. c
181. c
182. a
183. a
184. c
185. b
186. a
187. c
188. d
189. a
190. b
191. a
192. c
193. d
194. d
195. c
196. c
197. c
198. a
199. b
200. c